SMART MONEY CONCEPT SIMPLIFIED

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Chapter: MARKET STRUCTURE

MARKET STRUCTURE.

-This Is Quite A Huge Chapter Because This Is The Introduction Side Of The Whole **SMART MONEY CONCEPT** . I Have To Breakdown Everything For You So That You Can Understand Everything Before You Move To The Next Chapter.

-In This Chapter We Going To Focus On ***Trends ,Orderblock ,Supply And Demand, Liquidity ...***It's Like a the Combination Of Everything It Is More Like A Skeleton Of **SMC.**

-But Then I'm Not Going To Go Deep Into Them , There's Gonna Be Other Chapters That Mainly Focus On Supply And Demand Or Liquidity etc . On This Chapter I Will Be Doing A Summary Which Means After Reading This You Will Need To Go Through Those Other Chapters And Then You Might Need To Come Back To This Chapter And Read It Again Because That's When Everything Is Going To Start Making Sense Afterwards.

•*The First Thing I Want To Talk About In This Chapter It Is A* ***Trend.***

TREND.

•I Mainly Refer A ***Trend*** As The Movement Of The Market But Then That Movement Needs A Direction. That Is Why We Have The Term **UP** And **Down** ,Those Are Our Directions. When Market Moves Up That's A Direction, When Market Moves Down That's A Direction. And When You Combine The Two Both Trend And Direction They Will Formulate One Thing Forexample If It's An **UPTREND** Which Means It's An Upward Movement And We Also Have A Downward Movement Which Is For A **DOWNTREND**.

•You Must Understand That Each And Every Trend It Has It's Own ***Properties*** And ***Rules***.

WHY DID I BRING UP THIS PROPERTIES AND RULES THEORY?

-The Reason Why I Brought Up This Properties And Rules Situation Is To Make Sure That You As A Trader You Are Able To Understand The Theory Behind A **TREND** And How A Certain Trend Moves And Be Able To Know How It Was Formed.

-When We Talk About The Term **Property** We Mainly Talking About The Things That Makes A **Trend.**
Those Are The Components That Formulates Either A **Downtrend Or Uptrend.**

Forexample : *Normally I Use A Car As An Example, So For You To See That A Certain Object It Is A Car It Should Have 4 Wheels ,Doors ,Windscreen ,Engine etc.*
Those Are The Components That Make Up A Car Technically Those Are The Properties Of A Car .The Same Thing With A Trend For You To See That This Thing It Is A Trend It Needs To Have Its Properties.

WHY DOES EACH AND EVERY TREND HAS ITS OWN RULES.

-The Reason Why Each And Every Trend Has It's Own ***Rules*** It Is Because Whenever That Trend Fails To Respect Those Rules , Which Means We Are No Longer On A Trend We Think We're Introduced Into.
-Failure Of A Trend Respecting Its Rules Has The Consequences.

UPTREND.

PROPERTIES OF AN UPTREND: On An Uptrend We Going To Have Higher Highs And We Also Going To Have Higher Lows [*don't stress too much I'll also do illustrations of what I'm talking about].*

RULES: The Rules Of An Uptrend States That On An Uptrend Market Will Break Higher Highs And Respect Higher Lows.
-And On An Uptrend We Going To Look For Buying Pressure.

DOWNTREND.

PROPERTIES OF A DOWNTREND: The Properties That Formulates A Downtrend Are Lower Lows And Lower Highs.

RULES: The Rules Of A Downtrend States That Market Will Have To Break Lower Lows And Respect Lower Highs.
-And You Always Going To Look For Selling Pressure.

[Those Are The Things You Need To Understand About Trends Like I Said On This Chapter I'm Going To Breakdown Everything For You And Show You How We Go About Everything.]

THEORY OF SUPPLY AND DEMAND.

- When We Talk About Supply And Demand We Mainly Talk About Support And Resistance But In More Of A Complexed Way Like It's More Advanced , It Is Simplified And More Powerful.

SUPPLY.

•We Refer Our Supply Level As A Resistance Level , Actually Retail Traders Call A Supply Level A Resistance And Again That Is Where They Normally Looking For Selling Opportunities **But Not Us** , We Are Not Going To Look For Selling Opportunities On A Resistance Level.

•And On An Uptrend You Always Going To Find Your Supply Levels On Higher Highs.
On A Downtrend You Going To Find Your Supply Levels On Your Lower Highs.

STRENGTH AND WEAKNESS OF A SUPPLY.

-A Supply Has Its Strength In A Certain Trend And It Has Its Weakness In A Certain Trend.
-Surely You've Heard Me Saying That On A Trend Market Breaks A Certain Zone And Respect A Certain Zone So That "**Break And Respect**" It's Basically The Weakness And Strength Of A Trend That's Gonna Be Defined By Supply And Demand .

-The Strength Of A **SUPPLY** It's Gonna Be Found On A **DOWNTREND** (On Your Lower Highs)

-And Your **SUPPLY** It Will Be Weak On Your **UPTREND** (On Your Higher Highs)

DEMAND.

•When We Talk About The Term Demand Retail Traders Refer That As A Support Level , Most Retail Traders They Normally Look For Buys.

•If You Want To Identify Your Demand Level On A Downtrend , Your Demand Level Will Be On Your Lower Low . On An Uptrend It Is Always Going To Be On A Higher Low.

STRENGTHEN AND WEAKNESS OF A DEMAND.

-If You Want To See The Strength Of A **Demand** It's Always Going To Have A Strength On An **Uptrend** (On Your Higher Lows).

—You Will Find The Weakness Of A **Demand** On A **Downtrend** (When Price Breaks A Lower Low).

I Know All This Is Quite Confusing But Once I Go Deep Into This Chapter Everything Is Going To Be Simple For You.

THEORY OF ORDERBLOCKS.

ORDERBLOCK.

•An Orderblock It Is The Last Selling Candlestick Or Last Buying Candlestick That The Market Leaves .
When Market Leaves An Orderblock Price Have To Come And Test That Candlestick.

•Some People Call It An Institutional Candlestick

Uptrend : On An Uptrend Your Orderblock It Will Be The Last Selling Candlestick Left By Price After Breaking A Higher High.
If Price Doesn't Break A HH That Candlestick Cannot Be Considered As OrderBlock.

Downtrend : On A Downtrend Your Orderblock It Will Be The Last Buying Candlestick Left By Price After Breaking A Lower Low.
If Price Fails To Break A LL That Candlestick Can Not Be Considered As Orderblock.

THEORY OF LIQUIDITY.

-We Refer Liquidity As Money , Like I Said (There's Some Chapters That You Will Need To Read , There Is Chapter That Is Mainly About Liquidity) .

-We Refer Liquidity As Money And Our Stop Losses Again . So When The Market Hits Your Stop Loss In A Certain Unique Area Know That , That Zone It Is Called A Grab Of Liquidity.
Which Means The Market Is Taking You Out And It's Gonna Go By Your Direction Afterwards . Retail Traders Call That A False Breakout Or Manipulation.

SELL SIDE LIQUIDITY.

•When We Talk About The Sell Side Liquidity We Say That The ***Market Sells To Eliminate Buyers.***

•Which Means You Gonna Be Buying In The Wrong Position Or Area , The Market Maker Will Hit Your Stop Loss And Goes By Your Direction Afterwards.

BUY SIDE LIQUIDITY.

•With The Buy Side Liquidity ***Market Buys To Eliminate Sellers.***

•Which Means You Will Be Selling In A Certain Position Of Which You're Not Supposed To Sell At.
The Market Will Buy To Eliminate Your Stop Loss And Sell Afterwards.

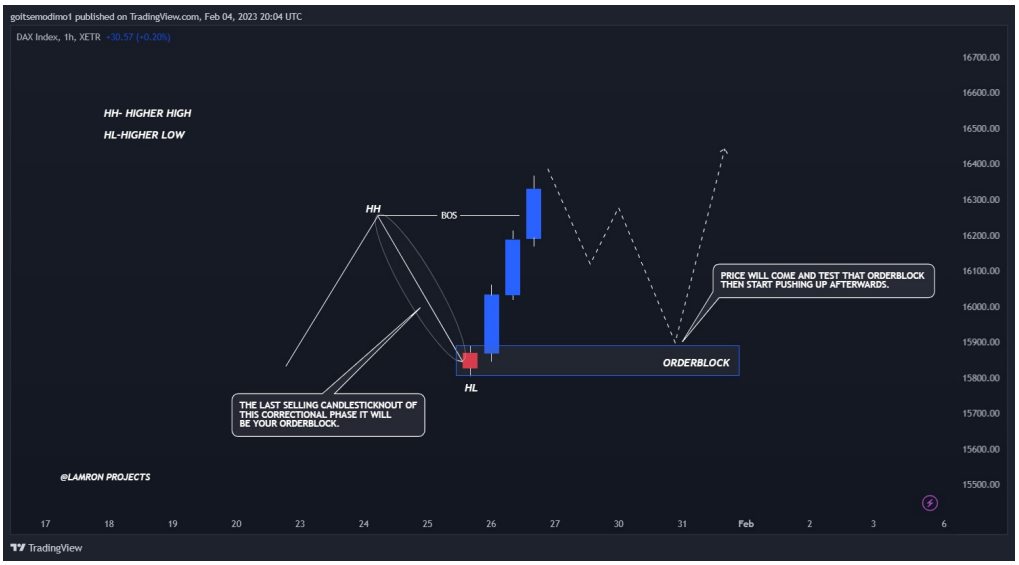
[In Simple Terms When We Talk About Liquidity We Are Saying That Your Direction It's Correct But The Zone You're Opening Your Trades At It Is Wrong]

All This Above Are The Things You Need To Know Before You Go To Any Other Chapter.

THEORY OF ORDERBLOCKS.

UPTREND ORDERBLOCK.

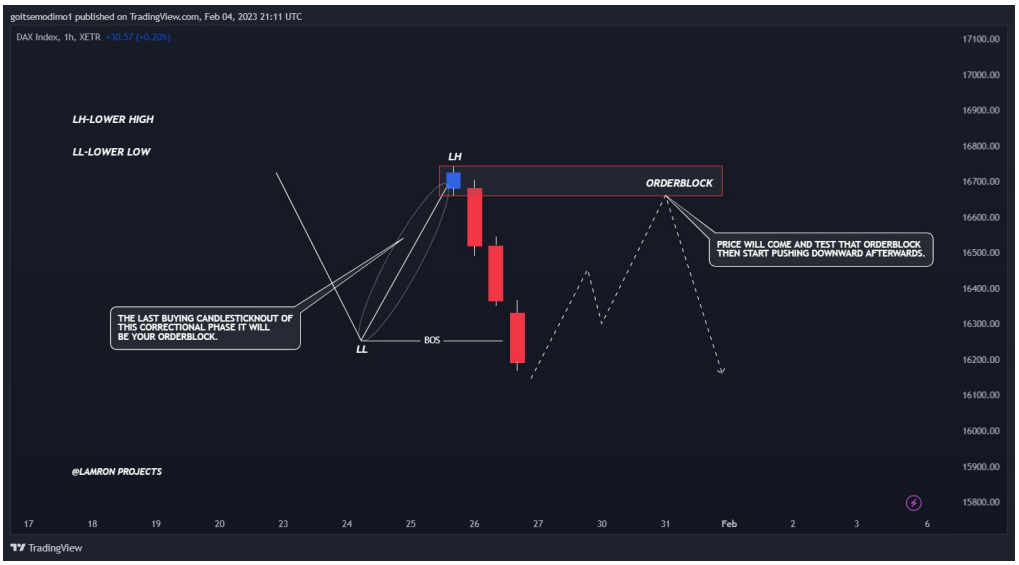
-On Uptrend The Market Is Simply Pushing To The Upside, And We Have The Properties That Tells Us That We're On An Uptrend Which Are A Higher High And A Higher Low.



-But We Will Consider That Candlestick As An Orderblock After Price Breaks A Higher High , Meaning That If The Market Fails To Break A Higher High That Last Selling Candlestick Can Not Be Considered As An Orderblock.

DOWNTREND ORDERBLOCK.

-On A Downtrend Market Is Pushing Down Giving Us The Properties Of A Bearish Trend Which Are A Lower Low And A Lower High .



***MARKET STRUCTURE*.**

TRENDS.

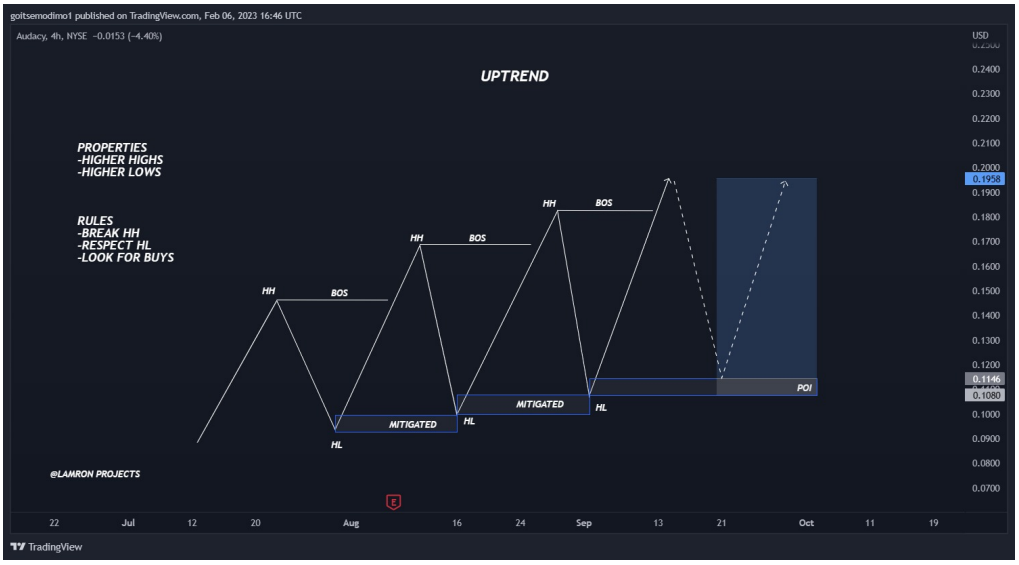
>When We Bring Up Trends We Gonna Talk About The Rules And The Properties.

>When You Approach The Market For You To Be Able To Know Which Trend You Are Introduced Into , You Will Start By Identifying The Properties That Formulates That Trend.

>After You Got Your Properties You Don't Need To Write Them Down ,You Just Need To Know That …Those Are The Components That Formulates Or Create That Certain Trend.

UPTREND.

-On An **Uptrend** We Will Have The Market Pushing To The Upside.



•With This Structure You Can See We Have A Series Of Higher Highs And Higher Lows Which Are The Properties Of An **Uptrend.**

•I Stated That On An **Uptrend** The Market Will Break Our Higher Highs. Once The Market Breaks Our Higher High We Say That Level It Is A **Break Out Of Structure (BOS).**

•After Market Breaks A Higher High Price Have To Come And Respect A Higher Low. That Respect Of A Higher Low It Is An Orderblock.
Which Means When We Say The Market Respected Our Low We Say It Respected Our Orderblock (The Last Selling Canflestick The Market Left Before Price When Up To Break A High).

•When The Market Hits Your Target Technically It Broke Your Current High High . The Question Is *When Market Breaks Your Higher High*

What Does It Mean? It Means That You Will Have A New Breakout Of Structure.
Then You Will Have A New Orderblock.

•And When Market Respected Your Previous Orderblock We Are Simply Gonna Say That The Market Mitigated That Zone Or That Orderblock.

•*Now You Know That On An Uptrend Market Breaks Your Higher Highs And Respect Your Higher Lows. Which Means I'm Expecting You To Open Your Trades On Your Higher Lows.*
And I Said That On An Uptrend You Going To Look For ***Buys.***

*[*Surely Everything Is Making Sense By Now ,Let's Go To The Rules Of Supply And Demand Which Means We Are Combining Everything Now*]*

SUPPLY AND DEMAND ON AN UPTREND.

-If You Go Back You'll See That I've Said On An Uptrend Your **Supply** Is Going To On Your **Higher High** And Your **Demand** Zones Will Be On Your **Higher Low.**

STRENGTH AND WEAKNESS.

-I Said Again On An Uptrend Your Supply Level Is Weak , The Question Is Why Is It Weak ?
Because The Market Break Our Higher High …Where We Say It Is Our Supply Zone On An Uptrend.

Why Does The Market Break Your Supply Level On An Uptrend? it's The Market Fails To Create A Double Top To Push To The Downside

-Then I Stated Again That On An Uptrend Your Demand Levels Are Strong , Why ?
Because Remember We Said That On An Uptrend Our Demand Level It Is On Our Higher Low . And On An Uptrend Market Respects Our Higher Low Where Our Demand Level Is Lying.

-When Market Respect Our **HL** And Change Direction, It Is A Sign Of Strength, It Is A Sign Of Dominance It Shows That Our Higher Lows And Buys Are In Control.

(I Hope Everything Is Starting To Make Sense Now Because The Professor Is Preaching Now , This Is Quality Information.)

WHAT DO YOU DO NOW ? That's The Question You Should Ask Yourself .

1- You Firstly Go To The Markets, You Look For A Trend Direction To Know That You're On An Uptrend.

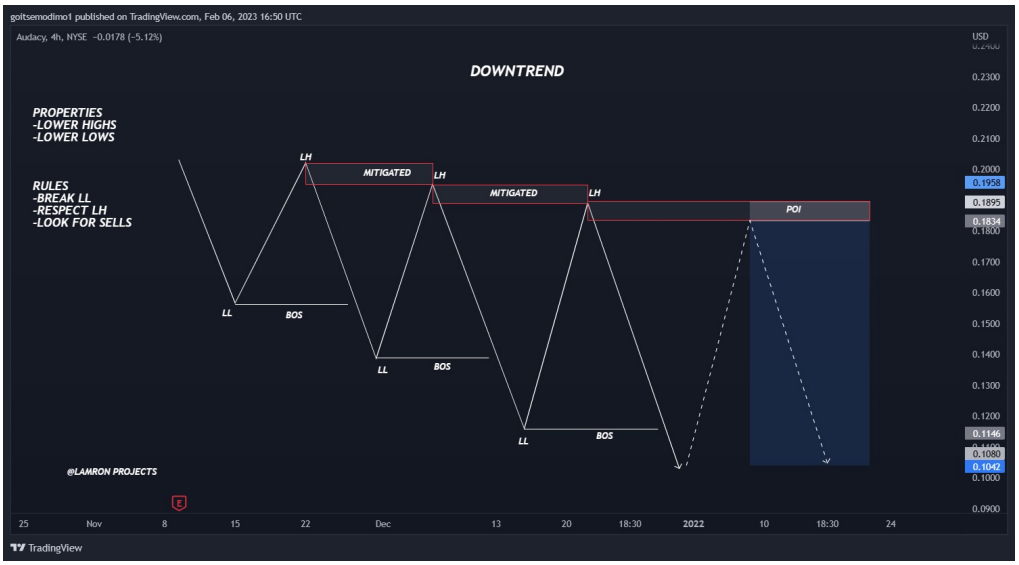
2-Second Thing You Gonna Look For The Properties Of That Trend.
3-Then You Gonna Go To The Rules Of That Trend And See Whether The Market Is Respecting Those Rules.

•*In Simple Terms You Will Wait For A BOS , From There You Will Expect Market To Come Back To Your Orderblock .*
•*On Your Orderblock You Going To Execute With Buys.*
•*Your Take Profit Will Be On Your Current Higher High.*

{That's The Things You Should Know About An Uptrend}

DOWNTREND.

-On A **Downtrend** We Will Have Market Pushing To The Downside.



•Even On A Downtrend You Going To Use The Same Approach You Used On An Uptrend , *What Do You Do?* You Going To Look For The Properties Of A Downtrend Which Are Your Lower Highs And Lower Lows.

•Therefore You'll Go To The Rules , The Rules States That On A Downtrend The Market Will Break Lower Lows And Respect Lower Highs.

•After Market Respect Your Lower High Where You Executed Will Sells Your Targets Are Going To Be On Your Current Lower Low. And Once The Market Breaks That Lower Low That Means You Will Be Having A **BOS** (Breakout Of Structure) , From There We Expecting Market To Pullback To Respect Our Current Lower High.

•Remember Your Orderblock Will Always Be The Last Buying Candlestick The Market Left On A Correctional Phase.

•And Like I Said Once The Market Respects Your Orderblock We Say The Market Has Mitigated That Level.

SUPPLY AND DEMAND ON A DOWNTREND.

-I Also Said That On A Downtrend Your **Demand** Levels Are Going To Be On Your **Lower Lows** And Your **Supply** Levels Are Going To Be On Your Lower Highs.

STRENGTH AND WEAKNESS.

-On An Downtrend Your Supply Levels Are Strong ,*Why Do We Say That?* It's Because The Market Do Not Break Your Supply Levels Instead It Respects Them …That Shows A Sign Of **Strength**.

-I Also Said That On A Downtrend Your Demand Levels Are Weak Because They Are On Our Lower Lows.
Whereas On A Downtrend Market Keeps On Breaking Lower Lows Giving Us A Breakout Of Structure , That Shows The **Weakness** Of A Demand Level On A Downtrend.

-Which Means On A Downtrend You Are Not Supposed To Look For Buying Opportunities On Demand Levels .
When It Comes To A Downtrend You Going To Look For Selling Pressure Only On Our Supply Levels

NOW LET'S LOOK AT THE LAST TOPIC OF THIS CHAPTER.

MINOR BREAKOUT OF STRUCTURE.

•A **Minor BOS** It Is A Sub-Breakout Of Structure Within The Major Breakout Of Structure.

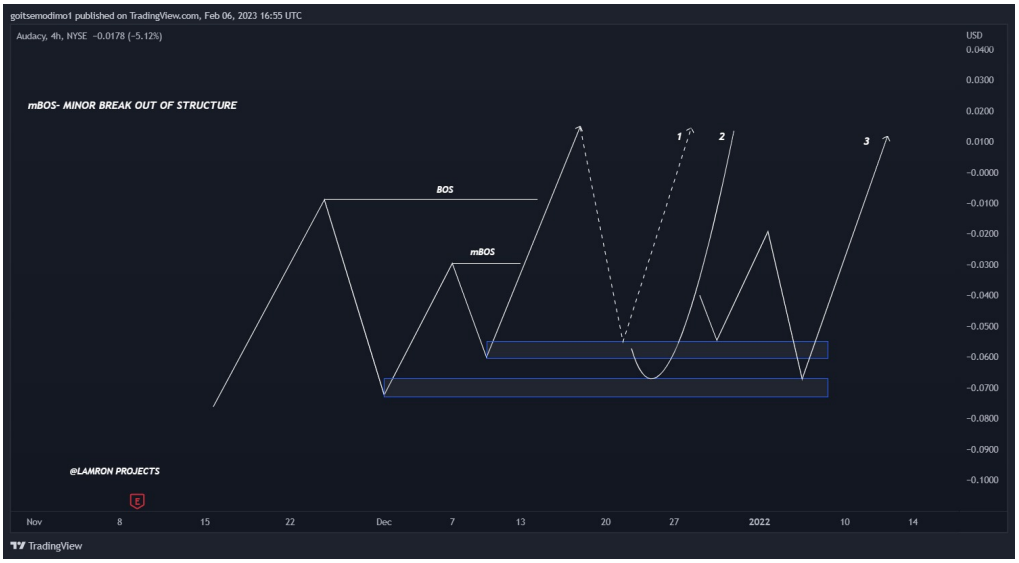
MINOR BOS ON A BULLISH TREND.

•A Minor Breakout Of Structure Has The Same Properties Of A Major BOS .
In That Function Which Means It Also Has That Last Selling Candlestick As An Orderblock And Also The Major BOS Has An Orderblock Too.

NOW 3 THINGS CAN HAPPEN WHEN YOU HAVE A MINOR BOS WITHIN THE MAJOR BOS.

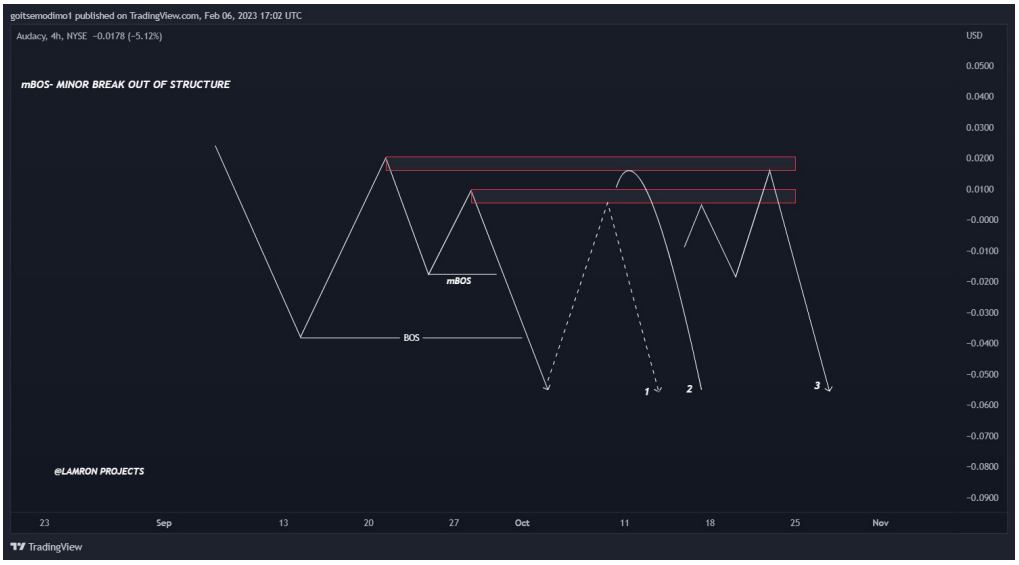
1-First Market Can Respect An Orderblock Of A Minor Break Out Of Structure And Push To The Upside To Hit Take Profit.

2-The Second Thing That Can Happen Price Can Break An Orderblock Of A Minor Break Out Of Structure And Respect An Orderblock Of A Major BOS.



3-Sometimes Price Can Respect An Orderblock Of A Minor BOS But Fail To Hit Take Profit Level , And Pullback To Take You Out Of That Trade And Respect An Orderblock Of A Major BOS.

MINOR BOS ON A BEARISH TREND.



(THIS IS THE END OF MARKET STRUCTURE CHAPTER I HOPE NOW YOU HAVE A CLEARANCE OF HOW THIS SMART MONEY CONCEPT WORKS.)

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Signature:

